

The Credit CARD Act of 2009

Effective February 22, 2010, the Credit Card Accountability, Responsibility, and Disclosure Act limits the credit card issuers' ability to charge credit card holders unfairly. Some highlights of this new law are:

1. Should you be more than sixty days behind on payments, a retroactive increase will be allowed; however, once you have made timely payments for a six-month period, the issuer must restore your rate.
2. If you open a new credit card there may not be any rate increase for the first twelve months.
3. Card issuers must deny any purchase that would put the cardholder over the limit of the card unless the cardholder agrees to pay the over-the-limit fee.
4. Total fees charged on a credit card for the first twelve months cannot exceed 25 percent of the card's limit.
5. Statements must be mailed at least twenty-one days prior to the due date.
6. Credit card issuers may not assess interest charges on balances from previous billing cycles that were already paid. This is known as double-cycle billing.
7. Monthly due dates must always be on the same day of the month. Any weekend or bank holiday due dates must be extended to the next business day.
8. All payments received by 5 P.M. must be recorded as being received on that day. A popular prior maneuver was to end the "banking" day at 2 P.M.
9. Any changes to credit card terms must be accompanied by at least forty-five days' advance notice.